

Case Study question

Past Paper (30 Marks Q1)

1 The Rain Forest Café was established in the early 1980s as an eco-friendly restaurant. The
2 founders wanted to create a serene environment that would combine fine dining and
3 environmental conservation. The restaurant has enjoyed a long-term contract with the central
4 government and several corporates which have guaranteed it steady business. The restaurant
5 boasts a unique menu, elite clientele, and numerous industry awards. Its current chef is
6 internationally recognized.

7 The Rain Forest Café is in the Nairobi Arboretum, on land leased from the government. Much of
8 the area has changed since the restaurant was put up. Once a pristine forested area, the
9 Arboretum has shrunk from its original size, and is now surrounded by the high-rise apartments.
10 The streams that flow through the forest are clogged with plastic and sewage. The once lonely
11 road has become congested by traffic making it difficult to access the restaurant.

12 Three years ago, a new national government was elected. The changes made at the ministry of
13 land have resulted in some uncertainty as to whether the restaurant will continue enjoying
14 favourable long term lease rates. Rain Café founders are not sure that the political powers of the
15 day care much about their conservation effort given its developments such as the SGR railway
16 that have a potential negative impact on wildlife.

17 The difficult economic times have resulted in a tussle between the Ministry of Tourism, and the
18 County government as to which body should be collecting rent from the Restaurant. The new
19 government has also put in place cost cutting measures and has limited its entertainment budget
20 which has negatively impacted the Café.

21 The Rainforest Café has had a difficult time attracting the younger generation. With no internet
22 and a menu designed for slow eating, the café has not been able to convince the impatient
23 generation to become its customers. The restaurant conducted a survey and realized that the
24 youth want free Wi-Fi and delivery services. The restaurant does not have an online system that
25 can handle deliveries. The restaurant has no online presence and is considering a website.

26 The restaurant industry has changed. International fast-food brands have joined the scene. The
27 appeal for convince has resulted in the growth of premium take-away services facilitated by
28 companies such as Uber Eats and Glovo. The customers are spoilt for choice given the number
29 of options they have. The younger generation of customers is more concerned with price and
30 trends and have little brand loyalty. With an oversupply of retail space in Nairobi, virtually
31 anyone can set up a restaurant and lease all equipment needed to operate. There is little barrier of
32 entry into the industry.

33 The owners of the Rain Forest Café are contemplating whether to make fresh investment into the
34 restaurant or to shut it down.

Question One (1) 30 Marks:

- a) Using the Porter's five forces framework, evaluate three Forces in the Restaurant industry as illustrated by the case study. (12 Marks) – quote/reference case study
- b) Using the PESTLE framework, evaluate three factors impacting the Rainforest Café as illustrate by the case study (12Marks) quote/reference case study
- c) Based on your findings, What advice would you give to the owners of Rainforest Café (8 Marks)